3.7.6 Corporate social responsibility

Unit 3.7 Analysing the strategic position of a business · 8 key points

- **Corporate social responsibility (CSR):** acting in the interests of society, not just owners
- **Reasons for CSR:** reputation, attracting staff and customers, pressure groups, long-term success
- **Reasons against CSR:** cost, may reduce short-term profit, conflict with shareholders
- **Stakeholder concept:** business should consider all stakeholders
- **Shareholder concept:** business should focus on returns to shareholders
- **Carroll's CSR pyramid:** economic, legal, ethical, philanthropic responsibilities
- **Philanthropic responsibilities:** voluntary, e.g. charity donations
- **Pressures for socially responsible behaviour:** customers, pressure groups, media, staff